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EXECUTIVE SUMMARY

Financial Highlights

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2014, were P229,8900,439.66, P124,278,933.55, and P105,611,506.11, with a decreased of (01.52%), (14.32%) and (15.65%), respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P149, 256835.22 and P130, 938,563.11 which increased by 9.12 % and 21.36%, respectively from last year's figures.

	2014	2013	Increase(Decrease) Amount	Percentage
Assets	229,890,439.66	233,400,447.30	(3,510,007.64)	(1.5%)
Liabilities	124,278,933.55	142,080,881.55	(17,801,948.00)	(12.53%)
Govt. Equity	105,611,506.11	91,319,965.75	14,291,540.36	15.65%
Income	149,256,835.22	131,133,243.61	18,123,591.61	13.82%
Expense	123,201,034.66	115,630,058.76	7,570,975.90	6.55%
Appropriations	149,107,891.41	123,240,430.00	25,867,461.41	20.99%
Obligations	130,626,905.81	104,452,915.18	26,173,990.63	25.06%

A. Operational Highlights:

The following are the major projects completed by the municipality:

Major Programs/Projects/ Activities	Amount	Accomplishment	% of Accomplishment
Concreting of Cullit-Naguillian Road	982,936.36	982,936.36	100%
Construction of Stage at Tucalana E/S	258,652.25	258,652.25	100%
Concreting of Luec-Bical Road	941,882.30	941,882.30	100%
Construction of Rural Health Unit	3,926,286.87	3,926,286.87	100%
Concreting of Marcos Type Bldng. & Basketball Court	343,848.12	343,848.12	100%
Improvement of San Lorenzo Production Center	510,250.00	510,250.00	100%

B. Scope of the Audit

A financial and compliance audit was conducted on the accounts and operations of the Municipality of Lal-lo for the period ended December 31, 2013. The audit was aimed at ascertaining the propriety of disbursement, the adequacy of accounting books and records and the reliability of financial reports. Likewise, the audit was conducted to identify the practices that require compliance with laws, rules and regulations for the purpose of recommending measures to correct them.

C. Independent Auditor's Report on the Financial Statements

We rendered a qualified opinion on the financial statements due to the erroneous recording of most of the operating expenses to the Other Maintenance and Operating Expenses (OMOE) as of December 31, 2014 instead of the pertinent specific expense accounts prescribed in the Philippine Government Chart of Accounts, thus affecting the fair presentation of the financial statements.

D. Significant Findings and Recommendations

FINANCIAL AND COMPLIANCE AUDIT

1. Disbursements against the 20% Development Fund in the total amount of P3, 803,186.57or 14% of the total appropriation of P26, 185,616.20 were not related to and/or connected with the implementation of development projects contrary to DILG-DBM Joint Circular No. 2011-1 dated April 13, 2011 and Section 287 of RA No. 7160, hence, full implementation of the programs/projects/activities could not be achieved.

   We recommended the Local Chief Executive and concerned key officials to ensure that the 20% development fund shall be spent solely for its intended purpose. Follow strictly the provision of DILG-DBM Circular No. 2011-1 dated April 13, 2011 to avoid disallowances in audit.

2. Five (5) consultants were hired and paid consultancy services totaling P640, 000.00 as of December 31, 2014 contrary to Annex "C" Item No. 5 of COA Circular No. 2012-003 dated October 29, 2012 or the Updated guidelines for the Prevention and Disallowance of Irregular, Unnecessary, Excessive, Extravagant and Unconscionable Expenditures.

   We recommended that the hiring of consultants should be avoided except on urgency of work which requires a level of attention beyond the capability of

management and/or in line with the mandate/thrust of the municipality to ensure economy in the disbursement of funds and to avoid future suspensions and disallowances in audit pursuant to COA Circular No. 2012-003 dated October 29, 2012 and other pertinent laws and regulations mentioned above.

We further recommend that management should be guided by COA Circular No. 95-011 dated December 4, 1995 in the hiring of legal consultant which provides in pertinent part, to wit:

"xxxx. In the event that such legal services cannot be avoided or is justified under extraordinary or exceptional circumstances, the written conformity and acquiescence of the Solicitor General or the Government Corporate Counsel, as the case maybe, and the written concurrence of the Commission on audit shall first secured before hiring or employment of a private lawyer or law firm."

3. Disbursements amounting to P173,149.69 were paid out of Special Education Fund (SEF) contrary to the provision of DECS-DILG-DBM Joint Circular No. 01 dated April 04, 1998 and Section 272 of the Local Government Code of 1991 and JC No. 01-B dated June 25, 2001, which prescribed the Rules and Regulations on the utilization of the SEF by the Local School Boards for the Operation and Maintenance of the Elementary and Secondary Public Schools, thereby defeating the purpose for which the fund was created.

   We recommended strict compliance with the provision of DECS-DBM-DILG Joint circular No. 01, series of 1998 dated April 14, 1998 and Section 272 of the Local Government Code of 1991 to avoid disallowance in audit.

4. Representation Expenses, Internet Expenses, Gasoline Oil and Lubricants, Office Supplies Expenses, Donations, etc. amounting to P P3,075,500.94 were classified and recorded as Other Maintenance and other Operating Expenses account (969) contrary to the Philippines Government Chart of Accounts, thus affecting the fair presentation of these accounts in the financial statements.

   We recommended that the Municipal Mayor instruct the OIC-Municipal Budget Officer and the OIC-Municipal Accountant to follow strictly the Account Titles/Code or specific accounts in recording expenses as prescribed under the (PGCA) in the preparation of the Annual Budget and recording of disbursements in the Journal Entry Voucher (JEV)to achieve a fair presentation of the accounts in the financial statements.

E. Status of Suspensions and Disallowances

Suspensions and Disallowances amounting to P130, 000.00 and P-0- disallowance, respectively, remained unsettled as of December 31, 2014.

Settlement of Suspensions and Disallowances is shown on table below:

	Beginning Balance (As of January 01, 2014)	This Period October 01 – December 31, 2014 (See B Below)		Ending balance (As of December 31, 2014)
		NS/ND/NC	NSSDC	
Notice of Suspension	P130,000.00			P130,000.00
Notice of Disallowance	0.00	0.00	0.00	0.00
Notice of Charge	0.00	0.00	0.00	0.00
Total	**P130,000.00**	**0.00**	**0.00**	**P130,000.00**

We recommended management to settle audit suspensions within the ninety- day period to avoid maturing the suspensions into a disallowance.

Management agreed to settle said audit suspension.

F. Status of Implementation of Prior Year's Audit Recommendations

Out of the nine (9) audit recommendations of last year's report, two (2) were fully implemented, three (3) was partially implemented and four (4) were not implemented as of year-end, hence reiterated in Part II of the report.